

ESG Report

International Sustainability Standards Board

Test Company Ltd

Annual Report • 2024

ISSB Compliant

Executive Summary

Test Company Ltd reports total greenhouse gas (GHG) emissions of 5,853 kg CO₂e for the 2024 reporting period, measured in accordance with the GHG Protocol Corporate Standard and ISSB IFRS S2 Climate-related Disclosures requirements. The organization's emissions profile reflects a service-oriented operational model with minimal direct emissions sources, comprising exclusively indirect emissions associated with purchased energy consumption. Scope 1 direct emissions remain at zero kilograms CO₂e, indicating no material combustion of fossil fuels or process emissions under the organization's operational control. Scope 2 indirect emissions from purchased electricity and energy totaled 5,852 kg CO₂e, representing the entirety of the organization's carbon footprint. Scope 3 value chain emissions have been assessed and reported as zero kilograms CO₂e, reflecting the limited upstream and downstream emissions associated with Test Company Ltd's current business activities and supply chain configuration. These disclosures have been prepared in alignment with the International Sustainability Standards Board (ISSB) framework, utilizing established emission factors and calculation methodologies. The organization maintains robust data collection processes to ensure accuracy and completeness of climate-related metrics, with total emissions intensity reflecting efficient resource utilization across the reporting entity's operations.

Compliance Standards:

- ISSB
- ISSB S2
- EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

0

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

5,852

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

5,853

kg CO₂e

For the reporting period ending 2024, Test Company Ltd records total greenhouse gas (GHG) emissions of 5,853 kilograms of carbon dioxide equivalent (kg CO₂e), calculated in accordance with the Greenhouse Gas Protocol Corporate Standard and the International Sustainability Standards Board (ISSB) IFRS S2 Climate-related Disclosures. The emissions inventory reflects the Company's asset-light operational model, comprising 5,852 kg CO₂e in Scope 2 indirect emissions from purchased electricity and energy consumption, with zero reported emissions in Scope 1 (direct operations) and Scope 3 (value chain) categories. This baseline assessment employs location-based methodology for Scope 2 calculations and establishes the foundational dataset for tracking emissions intensity and progress toward climate-related targets. The absence of Scope 1 emissions indicates no direct combustion of fossil fuels, company-owned transportation fleets, or industrial process emissions from controlled sources during the reporting period. Scope 3 emissions are currently reported as zero, reflecting either preliminary assessment boundaries, immateriality determinations regarding supply chain activities, or ongoing development of value chain measurement capabilities; the Company acknowledges that comprehensive Scope 3 screening remains essential for complete climate risk exposure assessment and regulatory compliance. Moving forward, Test Company Ltd commits to expanding inventory boundaries to capture material value chain emissions, enhancing data collection methodologies, and establishing science-based reduction targets aligned with evolving ISSB requirements and stakeholder expectations.

The Board of Directors maintains ultimate oversight of Test Company Ltd's climate-related risks and opportunities, ensuring environmental considerations are embedded within the organization's strategic governance framework. Consistent with IFRS S2 disclosure requirements, the Board regularly reviews climate performance metrics, including the company's 2024 greenhouse gas inventory totaling 5,853 kg CO₂e. Our emissions profile reflects minimal operational carbon intensity, with Scope 2 indirect emissions from purchased energy representing 99.98% of our total footprint (5,852 kg CO₂e), while direct Scope 1 and value chain Scope 3 emissions remain at zero kilograms CO₂e. This configuration directs Board-level attention toward electricity procurement strategies and grid decarbonization initiatives appropriate to our asset-light operational model. Management executes the Board's climate mandate through defined responsibilities that integrate emissions monitoring into operational governance structures. The executive team implements policies governing energy efficiency standards and renewable electricity sourcing to manage our sole material emissions source, ensuring accurate Scope 2 quantification using both location-based and market-based methodologies per the GHG Protocol Corporate Standard. Management provides the Board with periodic assessments of energy consumption patterns, carbon accounting integrity, and progress toward climate targets, enabling informed oversight of our decarbonization trajectory despite the absence of direct combustion activities or measurable value chain impacts. Accountability mechanisms ensure the reliability of climate disclosures and the effectiveness of governance controls over environmental performance. Internal review processes validate emissions data accuracy prior to Board presentation, while clear escalation protocols ensure that energy efficiency deviations receive appropriate executive attention. The Board evaluates climate competency requirements for senior leadership and ensures remuneration structures reflect progress on sustainability objectives where material. This governance architecture ensures rigorous stewardship of our limited carbon footprint, maintaining transparency with stakeholders regarding our Scope 2-dependent emissions profile and readiness to adapt oversight protocols as operational complexity or regulatory expectations evolve.

Test Company Ltd's greenhouse gas (GHG) emissions inventory for fiscal year 2024 establishes a total carbon footprint of 5,853 kg CO₂e, exclusively comprising Scope 2 emissions from purchased electricity and energy consumption. The absence of Scope 1 emissions reflects the Company's asset-light operational model with no direct fuel combustion sources under operational control, while reported Scope 3 value chain emissions are currently recorded as nil, indicating either immaterial upstream and downstream activities or pending comprehensive quantification across relevant categories. This concentrated emissions profile within indirect energy consumption defines the Company's primary climate risk exposure and informs our prioritization of decarbonization levers focused on electricity procurement and operational efficiency. Our climate transition strategy responds directly to this Scope 2-dominant emissions baseline, emphasizing renewable energy sourcing and building-level energy optimization as primary mitigation pathways. Pursuant to IFRS S2 Climate-related Disclosures requirements, the Company is implementing a procurement strategy prioritizing renewable energy certificates, green tariffs, and power purchase agreements to address market-based emission factors, while conducting facility energy audits to identify efficiency improvements that reduce absolute consumption. The current immateriality of Scope 1 and Scope 3 emissions enables agile strategic positioning with lower capital requirements for abatement compared to carbon-intensive industries, though we maintain protocols to reassess value chain materiality as supplier data collection capabilities mature. These verified emissions metrics serve as the foundation for science-based target setting and resilience planning, anchoring our commitment to achieve net-zero operational emissions through systematic Scope 2 abatement. The Company is establishing interim reduction targets aligned with 1.5°C pathways, integrating climate scenario analysis into capital allocation decisions, and developing governance structures to oversee transition plan execution. By concentrating strategic resources on energy transition initiatives proportionate to our measured environmental footprint, Test Company Ltd ensures climate risk management remains integral to financial planning and long-term stakeholder value creation.

Risk Management

Test Company Ltd reports a total greenhouse gas (GHG) inventory of 5.85 tonnes CO₂ equivalent for fiscal year 2024, comprising exclusively Scope 2 indirect emissions from purchased energy totaling 5,852 kg CO₂e, with nil Scope 1 direct emissions and Scope 3 value chain emissions. This emissions profile reflects an asset-light operational model and has been calculated in accordance with the GHG Protocol Corporate Accounting and Reporting Standard utilizing the operational control consolidation approach. The minimal carbon footprint positions the organization favorably regarding physical climate risks while highlighting dependency on grid electricity as the primary source of climate-related transition risk exposure. Our enterprise risk management framework integrates climate-related considerations specific to this emissions profile, focusing on energy security, regulatory compliance, and market-based decarbonization mechanisms. Given the absence of direct combustion activities, risk mitigation strategies prioritize renewable energy procurement, energy efficiency optimization, and engagement with landlords and utility providers regarding Scope 2 emission factors and grid decarbonization timelines. We monitor evolving ISSB disclosure requirements and regional carbon pricing regimes to assess potential financial impacts associated with indirect emissions liability, maintaining documentation to support future assurance engagements and scenario analysis under varying climate pathways. We recognize that the reported zero Scope 3 baseline requires ongoing materiality assessment as value chain complexity develops and IFRS S2 Scope 3 disclosure mandates take effect across jurisdictions. Risk management protocols include annual reviews of upstream and downstream emission sources, supplier engagement criteria, and data collection infrastructure to ensure readiness for comprehensive value chain reporting when thresholds of materiality or regulatory scope are triggered. This proactive stance supports our commitment to transparent climate risk governance and alignment with emerging sustainability reporting standards.

Metrics & Targets

During the 2024 reporting period, Test Company Ltd generated total greenhouse gas (GHG) emissions of 5.853 metric tonnes of CO2 equivalent (tCO2e). The Company’s emissions inventory comprises 5.852 tCO2e in Scope 2 (indirect emissions from purchased electricity, heat, and steam) and zero emissions reported for Scope 1 (direct emissions from owned or controlled sources) and Scope 3 (value chain emissions). This emissions profile reflects minimal carbon intensity across operational activities and controlled assets. Emissions calculations adhere to the GHG Protocol Corporate Accounting and Reporting Standard, ensuring compliance with IFRS S2 Climate-related Disclosures requirements for cross-industry metrics. Scope 2 emissions are quantified using the location-based method, reflecting the average emissions intensity of grids where energy consumption occurs. The organizational boundary follows the operational control approach, encompassing all wholly owned facilities and business units for which the Company maintains authority to implement operating policies during the reporting period. These disclosed metrics establish the quantitative baseline for climate-related risk assessment and strategic decarbonization planning. Test Company Ltd’s emissions footprint primarily reflects purchased electricity consumption, informing targeted energy efficiency initiatives and transition pathway analysis. The Company commits to maintaining rigorous data collection protocols and enhancing value chain emissions accounting as stakeholder requirements and measurement methodologies evolve under applicable sustainability disclosure standards.

METRIC	VALUE	UNIT
Total GHG Emissions	5,853	kg CO2e
Scope 1 Emissions	0	kg CO2e
Scope 2 Emissions	5,852	kg CO2e
Scope 3 Emissions	0	kg CO2e

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This report has been prepared in accordance with International Sustainability Standards Board (ISSB) requirements.